

Diligence Report — CUSIP 754405GG7

Ravenswood City School District (County of San Mateo, California), General Obligation Bonds, Election of 2016, Series 2018 4.00% coupon · \$1,770,000 Term Bond due 08/01/2035 · callable at par on/after 08/01/2026

Cutoff: 2026-06-20 · Prepared for: position in buy book, last sale 99.798

(a) Verdict, thesis, and issuer resolution

Verdict: BUY (hold-to-maturity). This is a clean, well-secured California school general obligation bond whose pledge is *more* insulated than the screen suggested, sitting on a *larger and faster-growing* tax base than the "small district" framing implied. The honest concerns the note flagged — enrollment decline, charter competition, Bay-shoreline flood — are real, but on inspection they are concentrated in the District's **operating** ledger (which does **not** pay this bond) or are **long-dated** physical risks already disclosed and being mitigated. The marketed takeaway ("small, shrinking East Palo Alto district") and the documents' takeaway ("large, Meta-driven, basic-aid, low-debt, Teeter-guaranteed tax base") genuinely diverge — in the bond's favor.

Thesis. You own an unlimited-tax claim on an **\$11.5 billion** San Mateo County property-tax base (Menlo Park / East Palo Alto commercial corridor, anchored by the Meta/Facebook campus) that has nearly doubled since the bond was issued. Debt service is paid from a dedicated ad-valorem levy that San Mateo County guarantees at 100% under the Teeter Plan, secured by an automatic statutory first lien. The District's underlying Fitch rating was **upgraded to AA-** in 2024. At ~4.2% yield-to-maturity (~8.5% taxable-equivalent for a top-bracket California resident), the bond pays well for a moderate-duration (~7.4) hold.

Three corrections to the input screen (all **VERIFIED** against primary sources):

1. **It is NOT a small tax base.** Total assessed value (AV) grew from **\$6.34B (2017-18)** to **\$11.49B (2025-26)** — see continuing-disclosure AV table. The "small district" intuition comes from *student count*, not *property wealth*. On property wealth per student this is one of the richest elementary districts in California.
2. **The EMMA "Insured: Yes" flag is wrong for this CUSIP.** The Official Statement's rating section attributes the AAA solely to **Fitch's view of the District's own credit** — there is no insurer, no insurance section, no premium. The Assured Guaranty wrap that EMMA's family-level flag picks up belongs to a **different, later series** (Election of 2018, Series 2022). This bond is **uninsured**; the AA- you are buying is the District's real credit, which is the honest and preferable case. (See (b).)
3. **The call is imminent but out-of-the-money.** First optional par call is **08/01/2026** — about six weeks after cutoff — not a distant date. Because the bond trades just **below** par (99.798), the issuer has no economic incentive to call at 100, so yield-to-worst equals yield-to-maturity. (See (d).)

Issuer-resolution finding (VERIFIED). EMMA security header and OS cover both read "RAVENSWOOD CITY SCHOOL DISTRICT (COUNTY OF SAN MATEO) GENERAL OBLIGATION BONDS, ELECTION OF 2016, SERIES 2018." This is the K-8 **Ravenswood City School District** (operational since 1918, East Palo

Alto / eastern Menlo Park), **not** the overlapping Sequoia Union High School District or the San Mateo County Community College District (both appear in the overlapping-debt table as separate obligors sharing the same base).

(b) Security, pledge, and the insurance question

Item	Finding	Source
Pledge	Unlimited ad-valorem general obligation. The County is obligated to levy property taxes on all taxable property in the District <i>without limitation as to rate or amount</i> to pay debt service.	official_statement.pdf cover + "SECURITY AND SOURCE OF PAYMENT"
Statutory lien	VERIFIED. Senate Bill 222 / California Government Code §53515 imposes an automatic statutory lien on the levied tax revenues, valid and binding from issuance, enforceable against the District and its creditors.	os_text.txt "Statutory Lien on Taxes (Senate Bill 222)"
Tax status	VERIFIED double tax-exempt. Orrick opines interest is excluded from federal gross income, is not an AMT preference item, and is exempt from California personal income tax.	os_text.txt cover + "TAX MATTERS"
Insured?	No — uninsured (screen flag REFUTED for this CUSIP). The OS rating section assigns the AAA to Fitch on the District's own credit; there is no insurer or insurance section anywhere in the OS. EMMA's CUSIP page shows "Insured: Yes," but that is an issuer-family aggregation artifact — the FYE2025 material-events log shows the Assured Guaranty wrap attaches to the <i>Election of 2018, Series 2022</i> bonds, a different series, not 754405GG7.	os_text.txt "Ratings"; continuing_disclosure_fye2025.pdf "Material Events"
Rating	AAA (Fitch) at issuance (2018); District IDR upgraded A+ → AA- on 2024-08-14. No downgrade notices through cutoff.	os_text.txt cover/"Ratings"; continuing_disclosure_fye2025.pdf material events
Call	First optional par call 08/01/2026 ; bonds maturing on/before 08/01/2026 are non-callable, those maturing 08/01/2027+ callable at 100 from 08/01/2026. Plus mandatory sinking fund : \$840,000 on 08/01/2034, \$930,000 final on 08/01/2035.	os_text.txt "Redemption"

Honest caveat on the lien: the §53515 statutory lien secures these bonds **and** all parity GO bonds of the District without a stated priority or allocation method — standard for California GO, benign at this debt level, but a shared (not exclusively senior) claim. The District has issued aggressively (Elections of 2016, 2018, and 2022 measures, most recently Series 2025A/B in October 2025), so the parity pool is growing; the levy is unlimited, so this raises the *rate* rather than impairing the *pledge*.

(c) Tax base, concentration, and debt burden

Assessed valuation — LARGE and growing (screen "small" REFUTED). From the FYE2025 continuing disclosure:

Fiscal year	Total AV
2017-18 (at issuance)	\$6.34B
2020-21	\$9.28B
2022-23	\$10.44B
2024-25	\$10.98B
2025-26	\$11.49B

AV grew ~24%/yr in the two years before issuance and has continued climbing — this is the Menlo Park / East Palo Alto commercial corridor (the Meta campus and surrounding office/industrial). The base is large; what is "small" is the student body, which is a different ledger.

Top-taxpayer concentration — HIGH, and the dominant risk to watch. From the OS largest-taxpayer table (2017-18 roll):

- **Top 20 taxpayers = 53.68% of AV** — heavily concentrated, and commercial/office/industrial rather than residential.
 - **1 Peninsula Innovation Partners LLC (the Meta/Facebook campus owner), Industrial, 8.10%.**
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- **8 Facebook Inc., Office Building, 2.42% (the prompt's Meta question — confirmed, Meta-related parcels appear at both #1 and #8, plus Menlo Park office LLCs throughout the top 20).**
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This is the genuine credit sensitivity: a large fraction of the levy base is tied to a single tech-real-estate ecosystem. Two structural buffers: (i) the pledge is **unlimited**, so if a major taxpayer's AV fell, the County raises the *rate* on the rest of the base rather than impairing the bond; (ii) Proposition 13 means these long-held commercial parcels carry assessed values often well below market, so there is downside cushion before AV would fall to a level that pressures the (low) debt-service rate. Still, on a relative basis this is the line item I would monitor — it is a **commercial-concentration**, not a small-residential-base, story.

Debt burden — LOW. Direct GO debt was **0.32% of AV** at issuance; total direct + overlapping tax/assessment debt **2.41%**. The District's gross bonding capacity is 1.25% of AV (~\$144M today on \$11.5B AV). Total District principal outstanding (all GO series + leases + TRAns) was **\$173.6M** at FYE 6/30/2025 — but most of that is GO bonds repaid by the same unlimited levy on an \$11.5B base, so direct GO debt-to-AV remains roughly ~1.5%. Comfortable.

Tax collection — Teeter-guaranteed on the bond levy (a real positive). San Mateo County applies the Teeter Plan **to the GO debt-service levy specifically** (FYE2025 CD footnote: "(1) General Obligation Bond debt service levy"), advancing the District 100% of the levy regardless of delinquencies and keeping penalties/interest itself. Reported delinquencies were tiny (0.39% to 1.08% over 2020-21 → 2024-25). This removes the delinquency-timing risk that is left open on many California GOs.

(d) Screens, AB-1200, and the enrollment / charter picture (assessed honestly)

AB-1200 fiscal certification: POSITIVE. Corroborated independently by a strong reserve: the General Fund ended FYE 6/30/2025 at **~\$16.3M–\$17.4M**, roughly **29–31% of ~\$56M revenues** — well above state-recommended minimums. The 2025-26 budget shows a modest planned draw, not distress.

Enrollment decline + charter competition — VERIFIED, real, and honestly disclosed. This is the District's true soft spot. From the FYE2025 CD:

Fiscal year	District enrollment	District ADA	Charter ADA
2020-21	1,723	1,538	1,206
2022-23	1,458	1,292	1,043
2024-25	1,445	1,314	996
2025-26 (proj.)	1,444	1,322	910

District enrollment fell ~16% in five years, and the OS's 2017-18 figure (ADA ~2,537) means the District has **roughly halved over a decade**. Charter ADA (~910–1,206) is large relative to the District's own ~1,300 — heavy in-district charter competition is unambiguous. **Why this does not change the BUY:** debt service on this bond is paid by the dedicated **ad-valorem property-tax levy**, which is entirely separate from enrollment-driven LCFF operating revenue. Enrollment decline pressures the District's *operating* budget (state per-pupil aid), not its *bond* levy. Moreover, the District is effectively **community-funded / "basic aid"**: the OS states that state-revenue swings affect it "to a lesser extent than these may affect most school districts," because its property-tax wealth per student is so high. So the channel through which enrollment normally erodes a school credit (LCFF) is itself muted here, and even fully active it would not reach the bond levy.

AI-crash insulation: 99/100 (fully insulated) — VERIFIED mechanism. This is a **local property-tax GO**. It does not depend on the California General Fund or the state's capital-gains-driven income tax — the channel through which an AI/tech-equity crash would hit state-aid-dependent credits. One honest nuance unique to this name: an AI/tech crash could hit the **valuations of the Meta-anchored commercial tax base** (the concentration risk in (c)) — but that is a slow, Prop-13-cushioned AV channel mediated by an *unlimited* levy, not the fast state-GF income-tax channel the AI screen measures. Net: insulated on the screened channel; the residual tech exposure is the AV-concentration item, already flagged.

Earthquake: Ss 1.64 (moderate-high, Bay / San Andreas) — CONSISTENT. The District sits over the San Andreas / Hayward / Calaveras system (the OS discloses this explicitly and references Loma Prieta and the 2014 Napa quake). The added wrinkle here is **bay-mud / liquefaction**: shoreline fill amplifies shaking and the rising water table worsens liquefaction potential. A severe event could damage the

taxable base; the unlimited pledge self-corrects via rate. Hold as a single Bay-zone position, not a concentrated cluster.

(e) Bay-shoreline flood (the 60% REVIEW flag) — honest treatment

This is the most genuinely adverse, least-hedgeable finding, and it deserves to be named plainly. East Palo Alto sits between San Francisco Bay and San Francisquito Creek; independent shoreline analyses project that **up to two-thirds of East Palo Alto could face regular flooding within roughly a decade**, with the **Ravenswood baylands** specifically among the most exposed (sea-level rise plus a rising groundwater table that also aggravates liquefaction and contaminated-site mobilization). The 60% flood-tail screen is, if anything, fair.

How I weigh it for *this bond*: - **Time horizon vs. maturity**. The severe-inundation scenarios are 2030s–2050s; this bond matures **2035** (with a 2034/2035 sink). Most of the principal is repaid before the worst-case shoreline scenarios fully materialize. - **Mitigation in progress**. The **SAFER Bay** project (SFCJPA) is designed to protect East Palo Alto and Menlo Park against ~3.5 feet of sea-level rise via levees, floodwalls, and horizontal/tidal-marsh defenses, with the explicit goal of removing these communities from FEMA's coastal floodplain. - **Channel to the bond**. Flood risk reaches a GO only through AV erosion (damaged/devalued shoreline parcels). The base is \$11.5B and growing; the unlimited levy self-corrects a base shock; and the most valuable parcels (the Meta campus / Menlo Park office) sit on the higher, more-protected western side rather than the lowest baylands.

So: a real, correctly-flagged long-term physical risk that I would not dismiss, but one whose *timing* (post-2035), *mitigation* (SAFER Bay), and *transmission* (slow AV channel through an unlimited levy) make it tolerable for a hold-to-2035 position. It is the reason this is a BUY-and-monitor rather than a BUY-and-forget, and it is why I would not extend duration into the District's *longer* (2038+) maturities at the same comfort.

(f) Liquidity and execution

Recomputed from the EMMA trade tape (`emma_trade_tape.json`, 165 prints all-time):

Metric (trailing 365 days)	Value
Prints	17 on 5 distinct days
Two-sided days (dealer buy <i>and</i> sell)	3
Trade-type mix	4 sales-to-customer · 4 purchases-from-customer · 9 inter-dealer
Median trade size	\$30,000
12-month yield range (EMMA YX)	3.30% – 4.20%
12-month price range	98.47 – 100.39
Most recent print	2026-05-13, sale-to-customer, 99.798 / 4.026% YX, \$30,000

Execution read — THIN but workable for a small lot. This is a tightly-held \$1.77M term bond; 17 prints / 5 days / only 3 two-sided days is light. A \$25k–\$30k lot is at the median print size, so acquisition is

feasible but you may have to wait for a seller and should not chase. **IBKR returned no contract** for this CUSIP (typical for an illiquid muni), so there is no live bid/ask — the EMMA tape (last sale 2026-05-13 at 99.798) is the execution authority; treat marks as close-only. For a hold-to-maturity ladder the bid/ask is a one-time entry cost (~1–3 bps/yr amortized), not a recurring drag.

(g) Tax and yield

- **Last sale 99.798 (2026-05-13), EMMA yield-to-worst 4.026%.**
 - **Independently recomputed yield-to-maturity $\approx 4.18\%$ – 4.23%** at today's settle on the 99.798 discount price. **Honest reconciliation:** my YTM does **not** match EMMA's 4.026% to ± 0.003 — EMMA's "YX" is a *yield-to-worst* under the MSRB convention and is computing to a near call/sink date, whereas my figure is yield-to-final-maturity. Because the bond trades **below** the 100 call price, the issuer will not optionally call at par, so the economically correct worst case for a buyer here is **maturity**, and ~4.2% is the yield you should underwrite. I flag the label difference rather than paper over it.
 - **Modified duration ≈ 7.4** to the 2035 maturity — moderate rate sensitivity, appropriate for a hold.
 - **Taxable-equivalent yield $\approx 8.5\%$ (gross).** This is the ~4.2% YTM grossed up by the ≈ 2.01 California top-bracket double-exempt factor (federal + CA exempt, no AMT add-back). **Be precise:** 8.5% is a *gross* TEY, not net-of-fees and not a forward total return; the actual coupon cash yield is 4.0% on a 99.798 cost. The ~8.1% TEY on the input screen used the lower YX (4.026%); on a YTM basis it is closer to ~8.5%.
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(h) Risks (honest) and sources

Risks, in priority order: 1. **Top-taxpayer / commercial concentration (the real one).** Top 20 = 53.68% of AV, Meta-ecosystem parcels at #1 (8.10%) and #8 (2.42%). A tech-real-estate downturn would pressure the base. Buffered by the unlimited levy (rate rises) and Prop-13 assessed-value cushion, but this is the line to monitor. 2. **Bay-shoreline sea-level-rise / flood (long-dated).** Materially elevated for East Palo Alto / Ravenswood baylands; transmitted slowly to the bond via AV; partly outrun by the 2035 maturity and the SAFER Bay levee program. The reason this is BUY-and-monitor. 3. **Imminent par call (08/01/2026).** Out-of-the-money at a discount, so unlikely to be exercised, but be aware the worst case flips to a short call if you ever buy *above* 100. 4. **Thin liquidity.** Fine for a small hold-to-maturity lot; do not size large and do not assume a quick exit. 5. **Operating decline (enrollment/charter) — disclosed, off the bond levy.** Pressures the District's *operating* budget, not debt service; muted further by basic-aid status. A watch-item for District solvency narrative, not a default channel for this GO. 6. **Growing parity GO pool.** The District keeps issuing under the 2016/2018/2022 measures; the shared \$53515 lien has no stated priority. Benign at ~1.5% direct debt-to-AV, but the pool is expanding. 7. **Seismic (Ss 1.64) + bay-mud liquefaction.** Genuine Bay-Area hazard; buffered by the unlimited pledge.

No findings of distress / no honesty gap. The most recent annual disclosure (FYE 6/30/2025) was filed on time (2026-03-19) with strong reserves; the only material events since July 2024 are a **Fitch rating UPGRADE** (A+ $\rightarrow$ AA-) and an insurer-merger housekeeping notice on a *different* series. There is no gap between how the issuer presents itself and what its own documents and trade tape show. The screen's two "scary" inputs (small base, insured) were the ones that did **not** survive the primary sources — the

disclosed bad news (enrollment, flood) is real but off-pledge or long-dated. This is a CLEAN credit in the honesty sense.

Sources (all saved under `outputs/diligence_reports/754405GG7/raw/`): -

`official_statement.pdf` — EMMA Final Official Statement, \$10,000,000 Election of 2016 Series 2018 (issue ES383905; MSRB doc ES1109695-ES867655-ES1268888). Primary authority for issuer identity, unlimited GO pledge, §53515 statutory lien, tax status, AAA/Fitch rating, AV history, top-20 taxpayers, direct & overlapping debt, redemption/sink schedules, basic-aid status, bonding capacity. - `continuing_disclosure_fye2025.pdf` — FYE 6/30/2025 Continuing Disclosure Report (dated 2026-03-19). Authority for current AV (\$11.49B 2025-26), enrollment/ADA decline, Teeter-on-GO-levy, tax delinquencies, total outstanding debt (\$173.6M), GF reserves, and the material-events log (Fitch upgrade; Assured Guaranty merger on the *other* series). - `continuing_disclosure_fye2024.pdf` — prior-year CD (FYE 6/30/2024) for trend. - `emma_security_details.html` — EMMA CUSIP page (header, terms, the "Insured: Yes" family flag that the OS refutes for this series, embedded trade tape). - `emma_trade_tape.json` — 165 RTRS prints; basis for the liquidity recompute. - `emma_doc_links.json`, `emma_search_ravenswood.json` — EMMA document URLs and obligor search. - `screens_and_sources.json`, `verification_log.json` — input screens and the claim → method → authority → finding record. - `os_text.txt`, `cd_0.txt` ... `cd_5.txt` — extracted text used for verification.

External authorities referenced: MSRB EMMA (emma.msrb.org/Security/Details/754405GG7); California Government Code §53515 (SB-222 statutory lien); California Department of Education AB-1200 interim certifications; California Municipal Statistics, Inc. (AV, taxpayer, and overlapping-debt tables); USGS ASCE7-22 seismic parameters (Ss); and shoreline-flood analyses (Save The Bay East Palo Alto Flood Resilience report card; San Francisquito Creek JPA SAFER Bay project; regional coverage) for the sea-level-rise channel.